

Ball Corporation

Recommendation **STRONG BUY** ★ ★ ★ ★ ★

Price USD 47.06 [as of market close Oct 27, 2023] 12-Mo. Target Price USD 72.00 Report Currency USD Investment Style Mid-Cap Blend

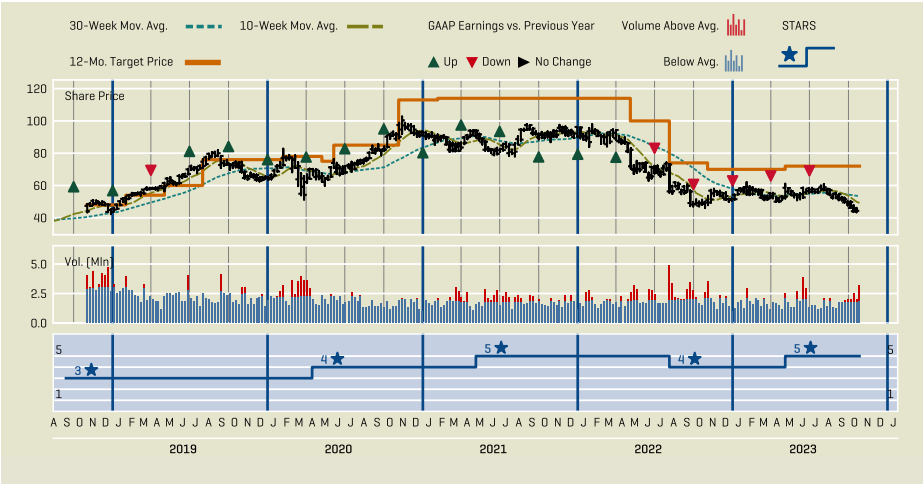
Equity Analyst **Matthew Miller, CFA**

GICS Sector Materials
Sub-Industry Metal, Glass and Plastic Containers

Summary Ball Corporation is one of the largest producers of aluminum packaging in the beverage, food, personal care, and household products industries.

Key Stock Statistics (Source: CFRA, S&P Global Market Intelligence (SPGMI), Company Reports)									
52-Wk Range	USD 62.14 - 42.81	Oper.EPS2023E	USD 3.11	Market Capitalization[B]	USD 14.83	Beta	0.82		
Trailing 12-Month EPS	USD 2.49	Oper.EPS2024E	USD 3.52	Yield [%]	1.7	3-yr Proj. EPS CAGR[%]	15		
Trailing 12-Month P/E	18.9	P/E on Oper.EPS2023E	15.13	Dividend Rate/Share	USD 0.8	SPGMI's Quality Ranking	A-		
USD 10K Invested 5 Yrs Ago	11,391.0	Common Shares Outstg.[M]	315.00	Trailing 12-Month Dividend	USD 1.0	Institutional Ownership [%]	87.0		

Price Performance



Source: CFRA, S&P Global Market Intelligence
Past performance is not an indication of future performance and should not be relied upon as such.
Analysis prepared by **Matthew Miller, CFA** on Aug 17, 2023 10:23 AM ET, when the stock traded at **USD 56.22**.

Highlights

- ▶ BALL installed 12 billion units of aluminum can capacity in 2021, mostly in North America, a region initially forecast to grow can volume by 10%-12% in 2022. However, weaker demand in North America in 2022 [shipments down 0.3%] led to capacity closures at certain locations. We expect a 3% sales decline in 2023, with flat organic volumes offset by the Russian divestiture. We forecast flat 2023 global volumes, with North America down low-single digits, South America up mid-single digits, and EMEA up mid-single digits.
- ▶ Leading up to 2022, BALL had been operating at full capacity in North America and had been in an oversold position. Therefore, BALL had been expanding capacity, with an emphasis on North and South America. BALL's capacity expansions were targeting an increase of 25% global capacity by year-end 2023 [off of a 2019 base]. However, weaker demand led to geographic mismatches in supply and demand and future capacity growth should be muted.
- ▶ Year-end net debt-to-trailing-EBITDA in 2022 was 4.3x [an increase from 3.4x in 2021]. 2023 capex should be \$1.2 billion [versus \$1.7 billion in 2022] and we forecast free cash flow of \$750 million, which we think will be used to reduce debt.

Investment Rationale/Risk

- ▶ Our Strong Buy view is driven by BALL's attractive market position in an aluminum can market that we think will perform well during the current economic weakness and return to strong growth thereafter. Cost controls and volume growth [as cans continue gaining market share from plastic bottles] should help expand margins. We have a positive view of BALL's pending divestiture of its aerospace business for \$5.6 billion in cash, implying an attractive valuation for the unit of 19.6x EV/EBITDA, well above BALL's three-year average forward EV/EBITDA of 14.6x. With the net proceeds of the deal, BALL should deleverage the balance sheet to the low end of the target leverage ratio and increase the dividend and buybacks.
- ▶ Risks to our outlook and target include less favorable exchange rates; lower demand for canned beer, soda, and other beverages; weaker job markets; and higher raw material, labor, and energy costs.
- ▶ Our 12-month target price of \$72 is 23.2x our 2023 EPS estimate, above BALL's three-year average forward P/E multiple of 21.6x. BALL trades at a premium to peers, which we think is justified given BALL's aerospace business [which sets it apart from peers] and BALL's strong free cash flow profile.

Analyst's Risk Assessment

LOW MEDIUM HIGH

Our risk assessment reflects the seasonality and cyclicity inherent in the beverage can business and volatile raw material prices. These factors are offset by BALL's improving balance sheet with solid credit quality and liquidity, as well as our expectations for strong cash flow.

Revenue/Earnings Data

Revenue (Million USD)					
	1Q	2Q	3Q	4Q	Year
2024	E 3,721	E 4,012	E 4,192	E 4,038	E 15,963
2023	3,489	3,566	E 3,933	E 3,832	E 14,820
2022	3,716	4,134	3,951	3,548	15,349
2021	3,125	3,459	3,553	3,674	13,811
2020	2,785	2,801	3,093	3,102	11,781
2019	2,785	3,017	2,953	2,719	11,474

Earnings Per Share (USD)

	1Q	2Q	3Q	4Q	Year
2024	E 0.75	E 0.76	E 0.98	E 1.03	E 3.52
2023	0.69	0.61	E 0.90	E 0.91	E 3.11
2022	0.77	0.82	0.75	0.44	2.78
2021	0.72	0.86	0.94	0.97	3.49
2020	0.61	0.65	0.89	0.81	2.97
2019	0.49	0.64	0.70	0.71	2.53

Fiscal Year ended Dec 31. EPS Estimates based on CFRA's Operating Earnings; historical earnings are adjusted. In periods where a different currency has been reported, this has been adjusted to match the current quoted currency.

Dividend Data

Amount [USD]	Date Decl.	Ex-Div. Date	Stk. of Record	Payment Date
0.2000	Oct 25	Nov 30	Dec 01	Dec 15 '23
0.2000	Jul 26	Aug 31	Sep 01	Sep 15 '23
0.2000	Apr 26	May 31	Jun 01	Jun 15 '23
0.2000	Jan 25	Feb 28	Mar 01	Mar 15 '23

Dividends have been paid since 1973 . Source: Company reports
Past performance is not an indication of future performance and should not be relied as such.
Forecasts are not a reliable indicator of future performance.
Dividends paid in currencies other than the Trading currency have been accordingly converted for display purposes.



Ball Corporation

Business Summary Aug 04, 2023

CORPORATE OVERVIEW. Ball Corporation [BALL] is one of the world’s leading suppliers of metal packaging to the beverage, food, personal care, and household products industries. BALL’s packaging products are produced for a variety of end uses and are manufactured in facilities around the world. BALL also provides aerospace and other technologies and services to governmental and commercial customers within its aerospace segment. In 2021, BALL’s total consolidated net sales were \$13.8 billion. The packaging businesses accounted for 86% of BALL’s net sales, with the remaining 14% from the aerospace business.

BALL’s largest product line is aluminum and steel beverage containers. The company also produces steel food containers; aerosol, paint, and general line containers; extruded aluminum aerosol containers, and aluminum slugs. BALL sells its packaging products mainly to large multinational beverage, food, personal care, and household products companies, with which BALL has developed long-term relationships. BALL has a diversified customer base; significant customers include The Coca-Cola Company and its affiliated bottlers, Anheuser-Busch InBev n.v./s.a., Molson Coors Brewing Company, and Unilever N.V.

BALL’s aerospace business is a leader in the design, development, and manufacture of innovative aerospace systems for civil, commercial, and national cyber security aerospace markets. It produces spacecraft, instruments and sensors, radio frequency systems and components, data exploitation solutions, a variety of advanced aerospace technologies, and products that enable deep space missions.

BALL reports its financial performance in four segments: [1] beverage packaging, North and Central America; [2] beverage packaging, Europe, the Middle East, and Africa [EMEA]; [3] beverage packaging, South America; and [4] aerospace. Ball also has investments in the U.S., Guatemala, Panama, South Korea, and Vietnam, which are accounted for using the equity method of accounting.

Beverage packaging, North and Central America, is BALL’s largest segment, accounting for 42% of sales in 2021. Aluminum cans are primarily sold under multi-year supply contracts to fillers of carbonated soft drinks, beer, energy drinks, and other beverages. According to publicly available information and company estimates, the North American beverage container industry represents approximately 133 billion units. Six companies manufacture substantially all of the aluminum beverage containers in the U.S., Canada, and Mexico. BALL shipped approximately 54 billion aluminum beverage containers in North America in 2021, representing around 41% market share. Sales volumes of metal beverage containers in North America tend to be highest during the period from April through September. All of the beverage containers produced by BALL in the U.S., Canada, and Mexico are made of aluminum. In North and Central America, a diverse base of no less than 10 global suppliers provide almost all of BALL’s aluminum can and end sheet requirements.

Beverage packaging, EMEA accounted for 25% of BALL’s sales in 2021. According to publicly available information and company estimates, the EMEA beverage container industry represents approximately 93 billion units and BALL is the largest producer with an estimated 41% market share. Four companies manufacture substantially all of the metal beverage containers in EMEA. Historically, sales volume of metal beverage containers tend to be highest during the period from May through August.

Beverage packaging, South America, accounted for 15% of 2021 sales. For the countries where BALL operates, the South American beverage container market is approximately 42 billion containers, and BALL is the largest producer in this region with an estimated 48% of South American shipments in 2021. Four companies manufacture substantially all of the metal beverage containers in Brazil. Historically, sales volume of metal beverage containers tend to be highest during the period from September through December.

BALL’s aerospace segment, which accounted for 14% of total sales in 2021, includes national defense hardware, antenna and video tactical solutions, civil and operational space hardware, and systems engineering services. The segment develops spacecraft, sensors and instruments, radio frequency systems, and other advanced technologies for the civil, commercial, and national security aerospace markets. The majority of the aerospace business involves work under contracts, generally from one to five years in duration, as a prime contractor or subcontractor for the U.S. Department of Defense [DoD], the National Aeronautics and Space Administration [NASA], and other U.S. government agencies. Contracts funded by the various agencies of the federal government represented 97% of segment sales in 2021.

FINANCIAL TRENDS. Over the last three years, BALL and the industry has seen aluminum beverage can growth accelerate significantly, due in part to a shift in consumer tastes and awareness of sustainability. According to BALL, in recent years, 67% of all new beverage SKUs in the U.S. were packaged in aluminum containers; this statistic has nearly doubled from 2015, when it was only 36% of all new SKUs.

In 2021, total sales increased 17% to \$13.8 billion, driven by increased sales volumes in beverage packaging segments, pass-through of higher aluminum prices, improved price/mix, and favorable exchange rates.

In 2021, sales in BALL’s largest segment [beverage packaging, North and Central America] increased by 15%, driven by 4% volume growth, the pass-through of higher aluminum prices, and improved price/mix. However, this segment’s operating earnings fell by \$2 million, mostly due to the timing of contractual non-aluminum input cost recovery, startup costs associated with three new multi-line manufacturing plants, and operational inefficiencies from supply chain disruptions. In 2021, beverage packaging, EMEA, increased sales by 19% and segment earnings by 28%, while beverage packaging, South America, increased sales by 19% and operating earnings rose by 24%. The aerospace segment increased both sales and operating earnings by 10%.

Corporate information

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Fax N/A	
Website www.ball.com	
Officers	
Chairman & CEO D. W. Fisher	Executive VP & CFO H. H. Yu
SVP, Chief Legal Officer & Corporate Secretary H. S. Lim-Johnson	
Board Members	
B. J. Sapp	J. A. Bryant
C. A. Niekamp	M. J. Cave
C. D. Ross	P. H. Mariani Bittencourt
D. E. Ives	S. A. Taylor
D. W. Fisher	T. A. Penegor
G. R. Nelson	
Domicile Indiana	Auditor PricewaterhouseCoopers LLP
Founded 1880	
Employees 21,000	
Stockholders 6,739	



Ball Corporation

Quantitative Evaluations						Expanded Ratio Analysis					
Fair Value Rank	NR	1	2	3	4	5	2022	2021	2020	2019	
LOWEST						HIGHEST	Price/Sales	1.07	2.31	2.63	1.92
Based on CFRA's proprietary quantitative model, stocks are ranked from most overvalued [1] to most undervalued [5].							Price/EBITDA	8.36	14.97	16.04	11.86
							Price/Pretax Income	18.37	30.87	45.54	36.24
							P/E Ratio	18.40	27.58	31.37	25.56
							Avg. Diluted Shares Outstg. [M]	320.01	331.62	332.82	340.12
							Figures based on fiscal year-end price				
Volatility	LOW		AVERAGE		HIGH						
Technical Evaluation	NEUTRAL	Since July, 2023, the technical indicators for BALL have been NEUTRAL "					Key Growth Rates and Averages				
Insider Activity	UNFAVORABLE		NEUTRAL		FAVORABLE		Past Growth Rate [%]		1 Year	3 Years	5 Years
							Net Income	NM	8.30	13.96	
							Sales	11.14	10.18	6.92	
							Ratio Analysis (Annual Avg.)				
							Net Margin [%]	4.68	5.34	4.97	
							% LT Debt to Capitalization	58.30	63.80	62.38	
							Return on Equity [%]	20.30	21.21	18.36	

Company Financials Fiscal year ending Dec 31											
Per Share Data [USD]		2022	2021	2020	2019	2018	2017	2016	2015	2014	2013
Tangible Book Value		-6.98	-7.64	-9.44	-10.70	-9.56	-9.87	-10.28	-3.94	-5.19	-4.95
Free Cash Flow		-4.27	0.10	0.98	2.87	2.18	2.63	-1.30	1.74	2.24	1.58
Earnings		2.25	2.65	1.76	1.66	1.29	1.05	0.81	1.00	1.65	1.36
Earnings [Normalized]		2.78	3.49	2.97	2.53	2.20	2.04	1.74	1.74	1.94	1.64
Dividends		0.80	0.70	0.60	0.55	0.40	0.36	0.26	0.26	0.26	0.26
Payout Ratio [%]		35.33	26.08	33.85	32.16	30.18	34.49	31.56	25.62	15.53	18.49
Prices: High		97.99	98.09	102.76	81.88	50.98	43.24	41.12	38.60	35.25	25.98
Prices: Low		46.00	77.95	51.26	43.86	34.71	35.64	31.15	28.98	23.88	20.76
P/E Ratio: High		35.20	28.10	34.60	32.40	23.20	21.20	23.60	22.20	18.20	15.80
P/E Ratio: Low		16.50	22.30	17.30	17.30	15.80	17.50	17.90	16.70	12.30	12.70
Income Statement Analysis [Million USD]											
Revenue		15,349	13,811	11,781	11,474	11,635	10,983	9,061	7,997	8,570	8,468
Operating Income		1,285	1,433	1,265	1,176	1,126	1,058	884.00	801.00	920.00	874.00
Depreciation + Amortization		672.00	700.00	668.00	678.00	702.00	694.00	453.00	286.00	281.00	300.00
Interest Expense		312.00	270.00	275.00	317.00	301.00	285.00	229.00	143.00	160.00	184.00
Pretax Income		891.00	1,034	681.00	607.00	638.00	545.00	140.00	350.00	648.00	584.00
Effective Tax Rate		17.80	15.10	14.50	11.70	29.00	30.30	-90.00	13.40	23.10	25.60
Net Income		719.00	878.00	585.00	566.00	454.00	374.00	263.00	281.00	470.00	407.00
Net Income [Normalized]		556.40	724.40	582.40	534.40	484.80	472.10	398.90	380.50	447.00	403.30
Balance Sheet and Other Financial Data [Million USD]											
Cash		548.00	563.00	1,366	1,798	721.00	448.00	597.00	224.00	191.00	416.00
Current Assets		5,489	5,223	4,675	4,884	3,940	3,758	3,653	2,184	2,314	2,471
Total Assets		19,909	19,714	18,252	17,360	16,554	17,169	16,173	9,697	7,571	7,820
Current Liabilities		7,008	5,953	4,444	5,577	4,095	4,107	2,969	2,142	2,007	1,927
Long Term Debt		7,530	7,710	7,773	6,337	6,510	6,518	7,310	4,974	2,994	3,182
Total Capital		12,915	11,842	11,432	11,075	10,291	11,017	11,073	6,335	4,408	5,021
Capital Expenditures		1,651	1,726	1,113	598.00	816.00	556.00	606.00	528.00	391.00	378.00
Cash from Operations		301.00	1,760	1,432	1,548	1,566	1,478	193.00	1,007	1,012	839.00
Current Ratio		0.78	0.88	1.05	0.88	0.96	0.92	1.23	1.02	1.15	1.28
% Long Term Debt of Capitalization		58.30	65.10	68.00	57.20	63.30	59.20	66.00	78.50	67.90	63.40
% Net Income of Revenue		4.70	6.40	5.00	4.90	3.90	3.40	2.90	3.50	5.50	4.80
% Return on Assets		4.05	4.72	4.44	4.33	4.17	3.97	4.27	5.80	7.47	7.13
% Return on Equity		20.30	25.00	18.30	16.30	11.90	10.00	11.10	24.20	37.50	32.10

Source: S&P Global Market Intelligence. Data may be preliminary or restated; before results of discontinued operations/special items. Per share data adjusted for stock dividends; EPS diluted. E-Estimated. NA-Not Available. NM-Not Meaningful. NR-Not Ranked. UR-Under Review.

Ball Corporation

Sub-Industry Outlook

Our fundamental outlook for the metal, glass & plastic containers sub-industry is neutral for the next 12 months. In the short term, we forecast muted demand growth as price increases on key products hurt demand and consumers face more economic uncertainty.

The impact of Covid-19 on this sub-industry was bifurcated, depending on where food and drink are consumed in particular markets. During lockdown measures, at-home consumption helped offset and, and in some markets, more than offset the decline of on-premise consumption. While many consumer trends reversed as economies reopened, other shifts in consumption could persist.

We forecast favorable long-term demand trends in most markets. Following a prolonged period of customers destocking inventory in 2022 and 2023, we expect production to continue to be more aligned with demand, while inventory build should be more seasonal. In our view, operating margins will improve as beverage packaging unit volume gradually recovers, with demand for higher-margin new products such as specialty cans and bottles likely to strengthen, while contractual price hikes cover most of the higher fuel, freight, and commodities costs, when necessary. We also see more demand for food and household packaging products.

After significant industry consolidation (mostly international), including major acquisitions by Ball and Crown Holdings, we expect only smaller tuck-in acquisitions, as companies instead focus on new manufacturing capacity in North and South America, to catch up to the surge in demand, mostly related to Covid-19 measures, but some shifts are structural in nature.

In our view, demand for glass containers will gradually recover in Western Europe, North America, and the Asia/Pacific region, although Southern Europe will likely remain soft until economic conditions improve. Global sales of beverage cans will likely continue to strengthen, especially in China and Brazil. Improved production efficiencies and new products, such as easy-open

closures on cans and specialty cans, as well as lighter-weight glass bottles in new sizes, will start to boost sales volume and margins, by our analysis.

Strong competition in the same materials or substitute forms of packaging has resulted in excess capacity in certain countries in the past, and can often lead to capacity adjustments and significant pricing pressures. In recent years, consumer preferences have shifted away from major domestic beer brands and toward higher demand for wine, spirits, and seltzers. Aluminum beverage packaging has experienced significant growth in recent years, as aluminum cans (as a substrate) have been gaining share among new product launches and existing products, including beer and sparkling waters. This has resulted in overcapacity in certain plastic and glass markets, while aluminum can producers are expanding to meet the surge in demand.

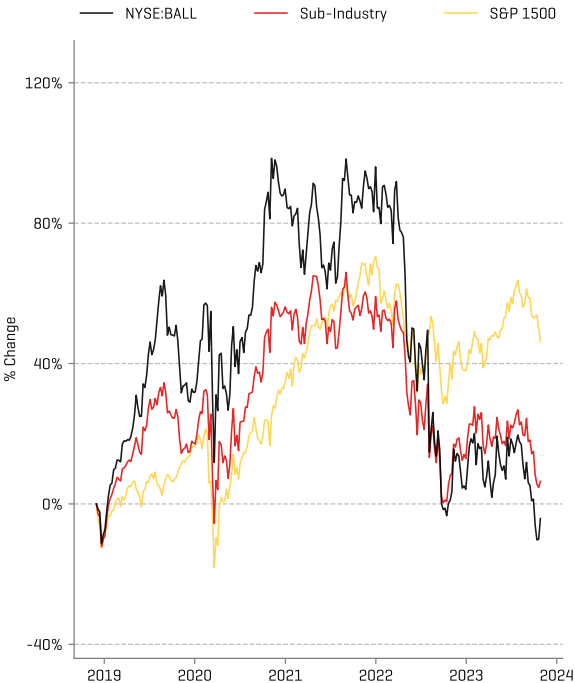
As of August 18, 2023, the year-to-date increase for the S&P 1500 Metal, Glass & Plastic Container Index was 6.0%, versus the S&P Composite 1500 Index, up 13.1%. In 2022, the S&P 1500 Metal, Glass & Plastic Containers Index decreased 29.0%, versus the S&P Composite 1500 Index, down 19.1%. As of August 18, 2023, the five-year compound annual growth rate (CAGR) for the S&P 1500 Metal & Glass Containers Index was 5.2% versus the S&P Composite 1500 Index CAGR of 8.1%.

/ Matthew Miller, CFA

Industry Performance

GICS Sector: Materials
Sub-Industry: Metal, Glass and Plastic Containers

Based on S&P 1500 Indexes
Five-Year market price performance through Oct 28, 2023



NOTE: A sector chart appears when the sub-industry does not have sufficient historical index data.
All Sector & Sub-Industry information is based on the Global Industry Classification Standard (GICS).
Past performance is not an indication of future performance and should not be relied upon as such.
Source: CFRA, S&P Global Market Intelligence

Sub-Industry: Metal, Glass and Plastic Containers Peer Group*: Metal, Glass and Plastic Containers												
Peer Group	Stock Symbol	Exchange	Currency	Recent Stock Price	Stk. Mkt. Cap. (M)	30-Day Price Chg. (%)	1-Year Price Chg. (%)	P/E Ratio	Fair Value Calc.	Yield (%)	Return on Equity (%)	LTD to Cap (%)
Ball Corporation	BALL	NYSE	USD	47.00	14,808.0	-2.4	-2.5	19.0	N/A	1.7	21.6	53.1
AptarGroup, Inc.	ATR	NYSE	USD	123.43	8,102.0	-0.1	24.6	27.0	N/A	1.3	13.7	20.1
Ardagh Metal Packaging S.A.	AMBP	NYSE	USD	3.14	1,876.0	1.3	-28.3	289.0	N/A	12.7	4.6	91.8
Berry Global Group, Inc.	BERY	NYSE	USD	54.98	6,493.0	-9.5	16.3	7.0	52.65	1.8	20.2	69.7
CCL Industries Inc.	CCL.B	TSX	CAD	54.30	9,671.0	30.8	12.8	15.0	41.91	2.0	15.2	31.1
Crown Holdings, Inc.	CCK	NYSE	USD	81.13	9,712.0	-5.3	16.6	14.0	56.76	1.2	25.4	63.1
Greif, Inc.	GEF	NYSE	USD	64.11	3,009.0	-2.8	-5.5	8.0	N/A	3.2	21.5	46.1
O-I Glass, Inc.	OI	NYSE	USD	15.07	2,337.0	-11.1	-10.0	5.0	53.50	N/A	33.6	64.5
Silgan Holdings Inc.	SLGN	NYSE	USD	39.84	4,380.0	-6.4	-14.7	11.0	N/A	1.8	16.5	70.3
TriMas Corporation	TRS	NasdaqGS	USD	23.22	962.0	-4.0	-18.8	20.0	N/A	0.7	7.4	37.6
Wipac Ltd.	WIPK.F	OTCPK	USD	27.19	2,438.0	-5.6	-12.3	13.0	N/A	0.3	11.1	N/A

*For Peer Groups with more than 10 companies or stocks, selection of issues is based on market capitalization.
NA-Not Available; NM-Not Meaningful.
Note: Peers are selected based on Global Industry Classification Standards and market capitalization. The peer group list includes companies with similar characteristics, but may not include all the companies within the same industry and/or that engage in the same line of business.

Ball Corporation

Analyst Research Notes and other Company News

August 17, 2023

09:47 AM ET... CFRA Maintains Strong Buy Opinion on Shares of Ball Corporation [BALL 56.26*****]:

Our 12-month target of \$72 is 23.2x our 2023 EPS estimate, a premium to BALL's three-year average forward P/E of 21.6x. Our EPS estimates remain at \$3.11 for 2023 and \$3.52 for 2024. BALL announced an agreement to sell its Aerospace business for \$5.6 billion in cash to BAE Systems. The valuation of the deal is attractive, at an EV/EBITDA multiple of 19.6x the Aerospace division's EBITDA [trailing 12 months as of June 30]; this compares favorably to BALL's corporate-wide forward EV/EBITDA, which is currently 11.9x and has averaged 14.6x over the last three years. BALL is guiding to using half of the after-tax proceeds to reduce net debt and get the net leverage ratio [net debt to trailing EBITDA] to 3.0x [the low end of BALL's target range]. This should allow BALL to pay a more attractive dividend and buy back shares, which we think is a good use of excess cash following recent weakness in BALL shares. The deal is expected to close in the first half of 2024, subject to regulatory approvals. / Matthew Miller, CFA

August 04, 2023

04:03 AM ET... CFRA Maintains Strong Buy Opinion on Shares of Ball Corporation [BALL 59.07*****]:

Our 12-month target of \$72 is 23.2x our '23 EPS estimate, above BALL's three-year avg. forward P/E of 21.8x. We trim our '23 EPS estimate by \$0.09 to \$3.11 and '24's by \$0.16 to \$3.52. BALL posts Q2 adj. EPS of \$0.61 vs. \$0.82, in line with consensus, while the top-line missed by 7.2%. Global beverage can shipments declined 4.9% Y/Y [excluding impact of '22 Russian business divestment], driven largely by a U.S. beer customer's brand disruption. The Aerospace segment continues to perform well, with an increase in operating earnings to \$54 million in Q2, up from \$36 million in the prior-year period. Aerospace backlog fell sequentially from \$2.8 billion to \$2.6 billion, but the won [but not yet booked] backlog increased by \$1.0 billion to \$6.0 billion. BALL is exploring strategic options for its aerospace business and we think an eventual spin-off should unlock significant shareholder value. We forecast \$750 million in free cash flow in '23 and net debt to trailing EBITDA of 4.0x, down from 4.3x at year-end '22. / Matthew Miller, CFA

May 05, 2023

08:44 AM ET... CFRA Lifts View on Shares of Ball Corp. to Strong Buy from Buy [BALL 59.26*****]:

We increase our 12-month target by \$2 to \$72, or 22.5x our '23 EPS estimate, in line with BALL's three-year avg. forward P/E of 22.4x. We maintain our '23 EPS estimate of \$3.20 and trim our '24 EPS forecast by \$0.14 to \$3.68. BALL posts Q1 adj. EPS of \$0.69 vs. \$0.77, \$0.18 above consensus; revenue fell 6.1% Y/Y and missed consensus by 2.4%. Global beverage can shipments fell 6.7%, but only 1.4% when excluding the impact from the Russian divestment in '22. We think volume trends will be highly dependent on the level of promotion from beer and soda customers in North America, but we are optimistic that volume trends will start to rebound in the second half of '23. While Q2 will continue to face tough comparisons, we think strength in the back half will drive '23 EPS growth of 15%. BALL is ultimately a volume business and we anticipate strong volume growth starting again in '24. In the meantime, we expect positive momentum in the operational performance in EMEA, aerospace, and aluminum aerosol business units. / Matthew Miller, CFA

February 02, 2023

12:21 PM ET... CFRA Maintains Buy Opinion on Shares of Ball Corporation [BALL 61.54*****]:

Our unchanged 12-month target of \$70 is 21.9x our '23 EPS estimate, below BALL's three-year avg. forward P/E of 22.9x, given the current weakness in demand and continued inflation headwinds, but mostly offset by our confidence that BALL will rebound to strength in operating and financial performance in the back half of '23. We lower our '23 EPS estimate by \$0.48 to \$3.20 and start our '24 EPS forecast at \$3.82. BALL posts Q4 adj. EPS of \$0.44 vs. \$0.97, \$0.11 below consensus, on a top-line miss of \$142 million or 3.8%. Global beverage can shipments fell 6.1% Y/Y in Q4, but ex-Russia was down only 0.9% Y/Y. We expect '23 to be a transitional year for BALL, with a weaker first half [given tough comps and ramp-up in capacity] and a stronger back half but we do expect BALL to achieve its long-term adj. EPS growth goal of 10%-15%; we expect 15% growth. For '23, we forecast global volume growth of 3% to 5%, with North America down low-single digits, South America up mid-single digits, and EMEA up high-single digits. / Matthew Miller, CFA

November 03, 2022

12:15 PM ET... CFRA Maintains Buy Opinion on Shares of Ball Corporation [BALL 51.15*****]:

We decrease our 12-month target by \$4 to \$70, 19.0x our '23 EPS estimate, below BALL's three-year average forward P/E of 23.4x, given weak near-term volume growth. We trim our '22 EPS estimate by \$0.04 to \$3.19 and '23's by \$0.44 to \$3.68. BALL posts Q3 adj. EPS of \$0.75 vs. \$0.94, \$0.05 below consensus; sales beat by 1.6%. Global beverage can shipments [ex. Russia] rose 5.7% Y/Y, with EMEA up 8.3%, South America [SAM] up 5.2%, and North & Central America [NAM] up 2.5%. Relative to Q3 '21, segment operating earnings increased 10% to \$205 million in NAM Beverage Packaging and was up 2.2% to \$47 million in Aerospace. This was offset by declines in Q3 operating earnings in EMEA Beverage Packaging (down 34% to \$82 million) and SAM Beverage Packaging (down 9.5% to \$74 million). BALL's cost-out plan [with \$150M in cost savings in '23] more than offsets the loss of earnings from Russian assets divested in Q3. Following weakness in '22, we have renewed confidence that BALL is poised for a strong rebound in '23. / Matthew Miller, CFA

August 05, 2022

06:49 AM ET... CFRA Downgrades View on Shares of Ball Corporation to Buy from Strong Buy [BALL 59.28*****]:

We decrease our 12-month target price by \$26 to \$74, or 18.0x our '23 EPS estimate, a discount to BALL's three-year average forward P/E of 24.2x. We lower our '22 EPS estimate by \$0.76 to \$3.23 and '23's by \$0.74 to \$4.12. BALL posts Q2 adjusted EPS of \$0.82 vs. \$0.86, \$0.08 below consensus, with a sales beat by 8%. Beverage can volumes rose 3.3% Y/Y. U.S. customer demand moderated late in Q2. BALL will delay construction of its new beverage can facility in Las Vegas and permanently shutter two plants [Phoenix and St. Paul] due to regional supply/demand imbalances. North American margin weakness in the near term is causing us to remove the high-conviction call, but we remain bullish. Despite a muted short-term outlook and write-down of its Russian assets [5% of shipments and 8% of operating earnings in '21], we think volume growth with rebound in '23. Aerospace backlog fell Q/Q from \$3.2 billion to \$3.0 billion, but contracts won [but not booked] rose to \$4.7 billion from \$4.1 billion. / Matthew Miller, CFA

May 05, 2022

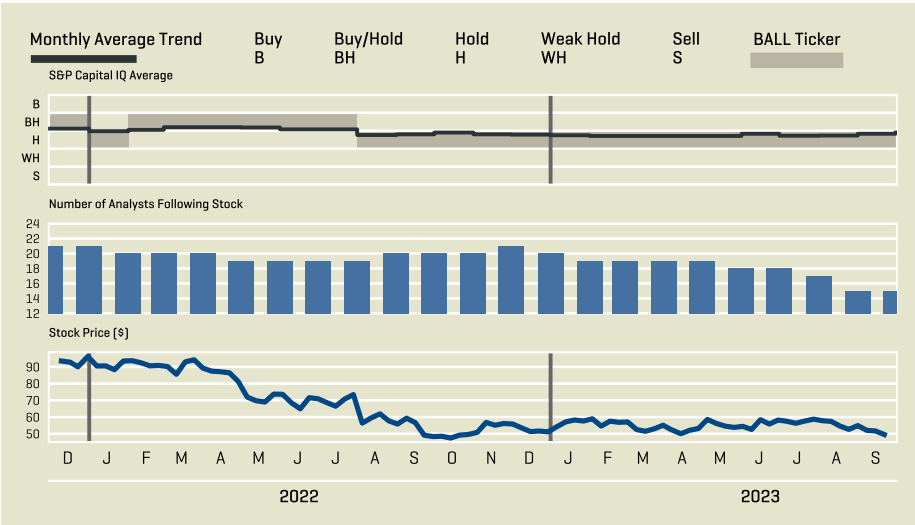
01:38 PM ET... CFRA Maintains Strong Buy Recommendation on Shares of Ball Corporation [BALL 76.64*****]:

We decrease our 12-month target by \$14 to \$100, 25.1x our '22 EPS estimate, in line with BALL's two-year avg. forward P/E. We lower our '22 EPS estimate by \$0.29 to \$3.99 and '23's by \$0.04 to \$4.86. BALL posts Q1 adj. EPS of \$0.77 vs. \$0.72, \$0.06 below consensus, with a sales beat of 5.5%. Q1 beverage can volumes rose 1.4% Y/Y, aluminum aerosol volumes rose 10% Y/Y, and aerospace backlog is up 28% Y/Y. We attribute most of the Q1 earnings miss to higher-than-anticipated inflation in Europe, as EMEA volumes increased 10% Y/Y but operating earnings remained flat. BALL is working with its customers in the region to secure short-term pricing pass-through, but given the energy cost headwind and the euro devaluation, earnings growth in the region could be muted in '22. BALL's cost pass-through should allow BALL to recover cost inflation later in the year and in '23. We see recent weakness in BALL shares as a compelling buying opportunity; BALL's fundamental outlook remains positive in both beverage cans and aerospace. / Matthew Miller, CFA

Note: Research notes reflect CFRA's published opinions and analysis on the stock at the time the note was published. The note reflects the views of the equity analyst as of the date and time indicated in the note, and may not reflect CFRA's current view on the company.

Ball Corporation

Analysts Recommendations



	No. of Recommendations	% of Total	1 Mo.Prior	3 Mos.Prior
Buy	2	13	2	1
Buy/Hold	2	13	1	2
Hold	11	73	12	15
Weak hold	0	0	0	0
Sell	0	0	0	0
No Opinion	0	0	0	0
Total	15	100	15	18

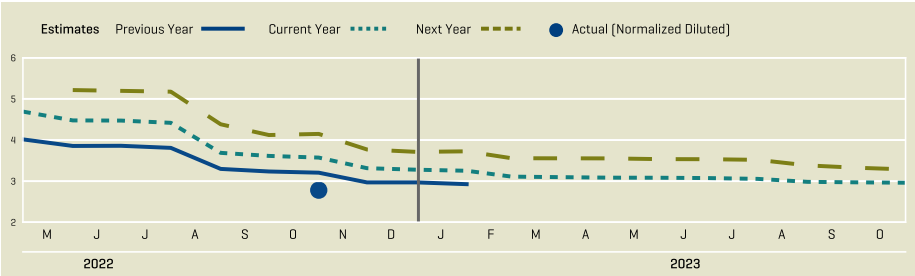
Wall Street Consensus Opinion

Hold

Wall Street Consensus vs. Performance

For fiscal year 2023, analysts estimate that BALL will earn USD 2.96. For fiscal year 2024, analysts estimate that BALL's earnings per share will grow by 10.95% to USD 3.29.

Wall Street Consensus Estimates



Fiscal Year	Avg Est.	High Est.	Low Est.	# of Est.	Est. P/E
2024	3.29	3.50	2.89	13	14.31
2023	2.96	3.05	2.78	13	15.87
2024 vs. 2023	▲ 11%	▲ 15%	▲ 4%	N/A%	▼ -10%
Q3'24	0.93	1.06	0.82	6	50.38
Q3'23	0.81	0.86	0.77	12	58.20
Q3'24 vs. Q3'23	▲ 16%	▲ 23%	▲ 6%	▼ -50%	▼ -13%

Forecasts are not reliable indicator of future performance.
Note: A company's earnings outlook plays a major part in any investment decision. S&P Global Market Intelligence organizes the earnings estimates of over 2,300 Wall Street analysts, and provides their consensus of earnings over the next two years, as well as how those earnings estimates have changed over time. Note that the information provided in relation to consensus estimates is not intended to predict actual results and should not be taken as a reliable indicator of future performance.
Note: For all tables, graphs and charts in this report that do not cite any reference or source, the source is S&P Global Market Intelligence.

Ball Corporation

Glossary

STARS

Since January 1, 1987, CFRA Equity and Fund Research Services, and its predecessor S&P Capital IQ Equity Research has ranked a universe of U.S. common stocks, ADRs [American Depositary Receipts], and ADSs [American Depositary Shares] based on a given equity's potential for future performance. Similarly, we have ranked Asian and European equities since June 30, 2002. Under proprietary STARS [Stock Appreciation Ranking System], equity analysts rank equities according to their individual forecast of an equity's future total return potential versus the expected total return of a relevant benchmark [e.g., a regional index (MSCI AC Asia Pacific Index, MSCI AC Europe Index or S&P 500® Index)], based on a 12-month time horizon. STARS was designed to help investors looking to put their investment decisions in perspective. Data used to assist in determining the STARS ranking may be the result of the analyst's own models as well as internal proprietary models resulting from dynamic data inputs.

S&P Global Market Intelligence's Quality Ranking

[also known as **S&P Capital IQ Earnings & Dividend Rankings**] - Growth and S&P Capital IQ Earnings & Dividend Rankings stability of earnings and dividends are deemed key elements in establishing S&P Global Market Intelligence's earnings and dividend rankings for common stocks, which are designed to capsize the nature of this record in a single symbol. It should be noted, however, that the process also takes into consideration certain adjustments and modifications deemed desirable in establishing such rankings. The final score for each stock is measured against a scoring matrix determined by analysis of the scores of a large and representative sample of stocks. The range of scores in the array of this sample has been aligned with the following ladder of rankings:

A+ Highest	B Below Average
A High	B- Lower
A Above	C Lowest
B+ Average	D In Reorganization
NC Not Ranked	

EPS Estimates

CFRA's earnings per share (EPS) estimates reflect analyst projections of future EPS from continuing operations, and generally exclude various items that are viewed as special, non-recurring, or extraordinary. Also, EPS estimates reflect either forecasts of equity analysts; or, the consensus [average] EPS estimate, which are independently compiled by S&P Global Market Intelligence, a data provider to CFRA. Among the items typically excluded from EPS estimates are asset sale gains; impairment, restructuring or merger-related charges; legal and insurance settlements; in process research and development expenses; gains or losses on the extinguishment of debt; the cumulative effect of accounting changes; and earnings related to operations that have been classified by the company as discontinued. The inclusion of some items, such as stock option expense and recurring types of other charges, may vary, and depend on such factors as industry practice, analyst judgment, and the extent to which some types of data is disclosed by companies.

12-Month Target Price

The equity analyst's projection of the market price a given security will command 12 months hence, based on a combination of intrinsic, relative, and private market valuation metrics, including Fair Value.

Abbreviations Used in Equity Research Reports

- CAGR - Compound Annual Growth Rate
- CAPEX - Capital Expenditures
- CY - Calendar Year
- DCF - Discounted Cash Flow
- DDM - Dividend Discount Model
- EBIT - Earnings Before Interest and Taxes
- EBITDA - Earnings Before Interest, Taxes, Depreciation & Amortization
- EPS - Earnings Per Share
- EV - Enterprise Value
- FCF - Free Cash Flow
- FFO - Funds From Operations
- FY - Fiscal Year
- P/E - Price/Earnings
- P/NAV - Price to Net Asset Value
- PEG Ratio - P/E-to-Growth Ratio
- PV - Present Value
- R&D - Research & Development
- ROCE - Return on Capital Employed
- ROE Return on Equity
- ROI - Return on Investment
- ROIC - Return on Invested Capital
- ROA - Return on Assets
- SG&A - Selling, General & Administrative Expenses
- SOTP - Sum-of-The-Parts
- WACC - Weighted Average Cost of Capital

Dividends on American Depositary Receipts (ADRs) and American Depositary Shares (ADSs) are net of taxes (paid in the country of origin).

Qualitative Risk Assessment

Reflects an equity analyst's view of a given company's operational risk, or the risk of a firm's ability to continue as an ongoing concern. The Qualitative Risk Assessment is a relative ranking to the U.S. STARS universe, and should be reflective of risk factors related to a company's operations, as opposed to risk and volatility measures associated with share prices. For an ETF this reflects on a capitalization-weighted basis, the average qualitative risk assessment assigned to holdings of the fund.

STARS Ranking system and definition:

★★★★★ 5-STARS (Strong Buy):

Total return is expected to outperform the total return of a relevant benchmark, by a notable margin over the coming 12 months, with shares rising in price on an absolute basis.

★★★★★ 4-STARS (Buy):

Total return is expected to outperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 3-STARS (Hold):

Total return is expected to closely approximate the total return of a relevant benchmark over the coming 12 months.

★★★★★ 2-STARS (Sell):

Total return is expected to underperform the total return of a relevant benchmark over the coming 12 months.

★★★★★ 1-STAR (Strong Sell):

Total return is expected to underperform the total return of a relevant benchmark by a notable margin over the coming 12 months, with shares falling in price on an absolute basis.

Relevant benchmarks:

In North America, the relevant benchmark is the S&P 500 Index, in Europe and in Asia, the relevant benchmarks are the MSCI AC Europe Index and the MSCI AC Asia Pacific Index, respectively.



Ball Corporation

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Quantitative Stock Reports:

Quantitative rankings are determined by ranking a universe of common stocks based on 5 measures or model categories: Valuation, Quality, Growth, Street Sentiment, and Price Momentum. In the U.S., a sixth sub-category for Financial Health will also be displayed. Percentile scores are used to compare each company to all other companies in the same universe for each model category. The five [six] model category scores are then weighted and rolled up into a single percentile ranking for that company. For reports containing quantitative rankings refer to the Glossary section seof the report for detailed methodology and the definition of Quantitative rankings.

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STARS Stock Reports:

Global STARS Distribution as of September 30, 2023

Ranking	North America	Europe	Asia	Global
Buy	36.8%	34.5%	41.6%	37.4%
Hold	53.8%	51.2%	50.3%	52.6%
Sell	9.4%	14.3%	8.1%	10.1%
Total	100.0%	100.0%	100.0%	100.0%

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Ball Corporation

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